MODULE 2

You can't lead a practice you don't fully understand financially and operationally.

Most healthcare managers run their practice well. Fewer understand what's actually driving the numbers.

OPERATIONAL & BUSINESS ACUMEN

1

FINANCIAL LITERACY

A collection rate of 88% sounds fine. It means you're leaving 12 cents of every earned dollar on the table.

- Financial literacy isn't accounting — it's knowing what the numbers are telling you.
- Revenue flat while volume is rising: something changed in reimbursement or coding.
- The manager who interprets financial patterns is a leader. The one who just reads reports is a passenger.

KEY INSIGHT
What story is your P&L telling right now? Most practice managers have never been asked that question.

Compliance isn't a checklist you hand to someone else. It's a leadership domain that belongs to you.

- The compliance gap you're not monitoring is the one that becomes a crisis.
- Five domains: HIPAA, billing integrity, clinical protocols, HR compliance, and environmental standards.
- Assigning compliance to 'everyone' is the same as assigning it to no one.

KEY INSIGHT
Which compliance domain in your practice is most at risk right now? If you don't know, that's the answer.

The biggest efficiency opportunity in your practice is probably a process nobody has questioned in three years.

- The Eight Wastes (Lean DOWNTIME) apply directly to healthcare: defects, waiting, overproduction, underused talent.
- Waste in healthcare is often invisible because it's been normalized — it's 'just how we do it here.'
- A 90-minute waste walk often surfaces more improvement opportunity than months of strategic planning.

KEY INSIGHT
Walk your most important process from start to finish. Ask at every step: why does this step exist?

4

EHR & TECHNOLOGY

Most practices use less than 40% of their EHR's capability. The rest is paying for tools no one is using.

- Technology maturity in healthcare runs from basic adoption through optimization to data-driven leadership.
- AI-assisted documentation will change physician workload. Practice managers need to lead that transition.
- The manager who waits for IT to drive technology adoption has already fallen behind.

KEY INSIGHT
What EHR capability is your practice currently paying for but not using? Start there.

Reporting data is not the same as leading with data. The difference determines how leadership sees you.

- Five metric categories: revenue performance, clinical efficiency, operational throughput, patient experience, workforce.
- A metric without a headline is a number. A headline without a metric is an opinion.
- The manager who says 'here's what it means and what I recommend' is perceived differently than the one who just reports.

KEY INSIGHT
Take the most important metric you report regularly. Can you state its meaning in one sentence?

FRAMEWORK

The Practice Management Dashboard

Five metric categories, tracked together, tell the complete story of practice health. Any one of them in isolation tells an incomplete one.

1. Revenue Performance: collection rate, net revenue per visit, payer mix trends.
2. Cost Efficiency: labor as % of revenue, supply cost per visit, overhead ratio.
3. Cash Flow: days in AR, days cash on hand, operating cash flow.
4. Clinical Productivity: visits per provider per day, no-show rate, scheduling utilization.
5. Track all five. The patterns across them tell you more than any single metric ever can.

REFLECT ON THIS

Your P&L is a story. Do you know how to read it?

> If your administrator asked you right now to summarize your practice's financial health in three sentences — what would you say?

TRY THIS

Three operational questions worth answering this week:

1. What is your practice's current collection rate? If it's below 95%, what's driving the gap?
2. Walk one patient-facing process from start to finish. How many steps add no value?
3. What is the one metric on your management dashboard that you least understand?

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